

2019 FINANCIAL REGULATIONS REVENUE REPORT

CITIZENSHIP OFFICE

1. INTRODUCTION

The Citizenship Office and Commission (Citizenship Office) is a statutory entity established by the Vanuatu Citizenship Act (CAP 112).

The Citizenship Act (CAP112) provides for granting of Vanuatu Citizenship through different categories and other related matters. The Commission has the general (legal) powers to:

- Consider and approve or differ or reject applications for Vanuatu citizenship, and
- Revoke a citizenship if it was not granted according to the provisions of the Citizenship Act [Cap 112] and/or the National Constitution and other powers as specified or implicated by the Act.

The Commission ensures that the provisions of the Citizenship Act [Cap 112] and the provisions of the national Constitution related to Citizenship matters are implemented and enforced.

The Citizenship Office currently runs the Vanuatu Citizenship by Investment (CBI) program. CBI programs “help create significant sovereign and societal value through transferring assets from wealthy individuals to developing countries”, supporting fiscal independence and address growing imbalances and inequalities inherent to traditional sovereign debt financing. Vanuatu is one of at least 13 countries globally offering CBI programs and one of more than 60 countries offering Immigration Investment

Vanuatu’s CBI program is offered through its Vanuatu Development Support Program (VDSP) and Vanuatu Contribution Program (VCP) which have been budgeted to collect **22.8** per cent of revised National Revenue Budget in 2019.

Citizenship Office & Commission Revenue Collection:

The Citizenship office and Commission budgeted to collect **VT 6.5** billion in 2019.

Citizenship Office	Quarter 1	Quarter 2	Quarter 3	Quarter 4
Budget	1,006,462,777	2,630,961,394	3,972,145,640	6,472,241,500
Actual	2,413,128,734	5,267,076,314	8,577,437,450	12,219,040,804

At the end of the 2019 financial year, the Citizenship Office revenue collection recorded VT 12,219.0 million, exceeding budget target by 88.8 per cent.

2. 2019 REVENUE UPDATE

Chart 2.1: Cumulative Quarterly Budget vs Actual Revenue Trend

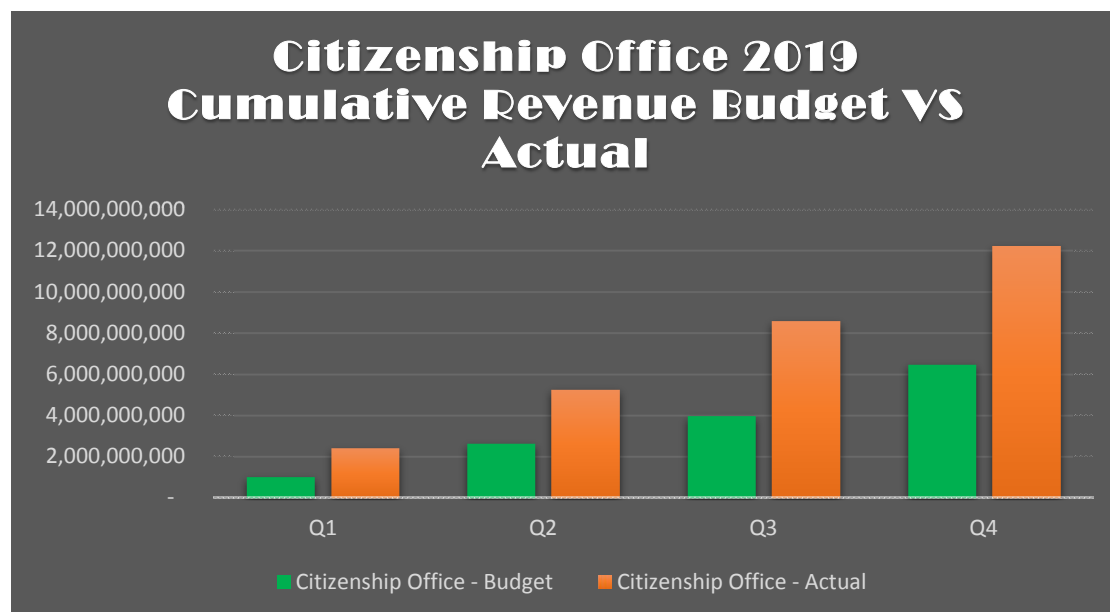
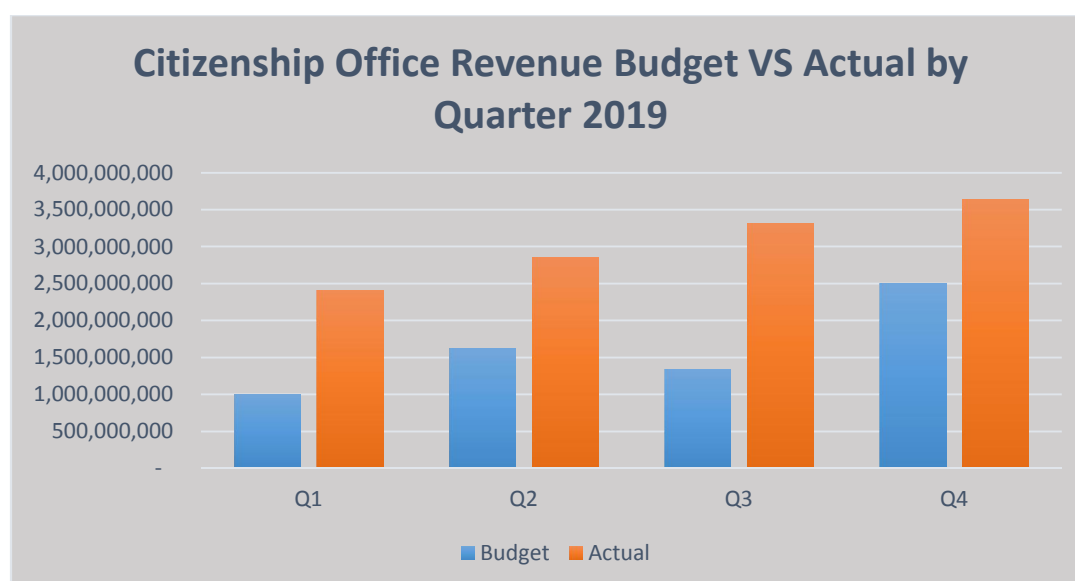


Chart 2.1 displays the 2019 revenue collection by quarter. Actual collection grew in a similar trend to the forecast but excessively surpassed the quarterly budget throughout the year.

Chart 2.2: Actual Revenue Performance VS Budget Revenue in each Quarter.



According to the non-cumulative chart 2.2 above, most collections are from the second half of the year. The CBI programs are facilitated by government authorised agents to recruit clients. The agents are expected to reach a targeted client number in one year and therefore increase activities towards year end– thus the peak in revenue as agents aim to reach target before year end.

3. GENERAL DISCUSSIONS ON REVENUE COLLECTIONS BY CITIZENSHIP OFFICE

Revenue Item	2019 Budget	2019 Actual	Variance
Citizenship Office	6,382,241,500	12,219,040,804	5,836,799,304
Honorary Citizenship Program Fees	6,362,669,500	12,191,471,678	5,828,802,178
Other Fees	19,572,000	25,620,355	6,048,355
Application Charges Recoveries	-	1,948,771	1,948,771

The VDSP and VCP programs, recorded as the Honorary Citizenship Program Fees, replaced VERP in March 2017, making 2019 their second year of operation in which they altogether generated more than a third of the total government revenue and was the government's most collected revenue item.

2019 collections were 24.5 per cent more than the 2018 collections and the trend is expected to continue as the program continues.

The Program has made headlines in Vanuatu where concerns have been raised on it being an unsustainable Government revenue. Given the significant portion the program makes to the national revenue basket and thus the expenditure, any changes to the program must be carefully thought out.

Revenue gained from other fees was 30.9 per cent more than budget. These are from fees for other services provided by the Office. The services are administrative citizenship services like citizenship application form fees and certificate printing fees. The trend is expected to continue as the VDSP and VCP programs continue.

4. OUTSTANDING REVENUE FOR THE CITIZENSHIP OFFICE

Agency	Total Outstanding (VT)
Citizenship office	131,745
Total	131,745

The Citizenship Office has an outstanding revenue of VT 131,745 at the end of 2019.

As with other Government Agencies, the Department of Finance & Treasury Revenue section is working on the collection compliance of non-tax revenue items. The team will review the Citizenship Office's outstanding revenue.

5. CONCLUSION:

Overall, the Citizenship Office revenue collection has seen strong collections in 2019. This year, the VCP and VDSP collected more than the previous years, generating more revenue than the Government's main tax, Value Added Tax. The nature and sustainability of the program has been questioned, however, any changes to it must be carefully thought out due to its significant contribution the Government budget to support its services throughout the nation.

ANNEX

Revenue Item	2019 Budget	2019 Actual	Variance
Citizenship Office	6,372,500,000	12,219,040,804	5,836,799,304
Honorary Citizenship Program Fees	4,452,669,500	12,191,471,678	5,829,318,400
Other Fees	19,572,000	25,620,355	6,048,355
Application Charges Recoveries	-	1,948,771	1,948,771